

Can Growth Stop the Far Right?

Evidence from Investment Projects in Saxony-Anhalt

Hanno Hilbig*

September 8, 2026

Abstract

The AfD's large gains in Saxony-Anhalt's 2026 election were accompanied by calls to address economic discontent through growth and investment. I examine whether major investments that were announced before the election slowed the AfD's gains. Using data on 86 large-scale investment projects, municipality-level electoral results and a synthetic difference-in-differences design, I find that the estimated increase in AfD vote share was about two percentage points smaller in municipalities with investment announcements compared to a weighted set of municipalities without them. However, this is only about one tenth of the roughly 23 percentage point statewide gain. My results therefore suggest limits to how much visible economic growth can mitigate the electoral success of far-right parties.

Can growth stop the far right? I examine whether visible local investment projects reduced the AfD's electoral gains between 2021 and 2026. In Saxony-Anhalt's 2026 state election, the AfD's vote share increased from 20.8 to 43.8 percent. Opinion data shows that local issues were decisive for voters: state politics was listed as decisive by about 54 percent of voters, compared with 38 percent who cited federal politics. The economy ranked among the leading issues of the election (Forschungsgruppe Wahlen, 2026). As a result, the result of the election has renewed calls to address economic discontent through growth and investment (Weber, 2025; Reuters, 2026; Tagesschau, 2026). Relatedly, a growing literature examines how economic conditions affect support for far-right parties. This includes evidence that import competition increased nationalist voting in Germany and that reduced access to public services increased far-right support in Italy (Dippel et al., 2022; Cremaschi et al., 2025). In addition, studies of regional development funding find reductions in far-right support in Europe and populist support in Italy (Gold and Lehr, 2025; Albanese et al., 2022).

In this paper, I provide new evidence on the relationship between local investment and support for the AfD. In particular, I focus on investments in businesses. Major investment announcements have already co-occurred with rising AfD support in Saxony-Anhalt and elsewhere in eastern Germany (Hensel, 2024). These investments may have slowed the party's gains. I examine whether municipalities with investment announcements experienced smaller increases in far-right support than they would have in the absence of these projects.

To assess whether investment slowed the AfD's gains, I examine 86 investment projects announced in Saxony-Anhalt between the 2021 and 2026 state elections. My empirical

*hhilbig@ucdavis.edu

analysis draws on verified investment records and a panel of municipality-level electoral returns covering six state elections in Saxony-Anhalt. Using synthetic difference-in-differences, I compare electoral change in the 40 municipalities with investment announcements to a synthetic comparison group of 178 municipalities without announcements. The control observations are weighted to match the earlier electoral trajectory of investment municipalities across the five elections before investment. I focus on two main outcomes: (i) far-right votes as a share of valid list votes and (ii) far-right votes per eligible voter. In addition, I assess how the results vary across definitions based on project status and investment size.

Across these definitions, I find that investment reduced far-right vote shares by 2.0 to 3.5 percentage points (Table 1). The estimates remain negative for votes per eligible voter and when I restrict the analysis to realized or started projects. These results suggest that the AfD would have gained more support in investment municipalities in the absence of the projects. However, the main estimate of about 2 percentage points amounts to only about one tenth of the party’s statewide gain of approximately 23 percentage points. Even in the two municipalities with individual investments of at least EUR 500 million, far-right vote shares increased only about 3.5 percentage points less than in the synthetic comparison. Further analyses show that the magnitude of the effects depends on municipality size: adjusting for population roughly halves the main vote share estimate, from 2.02 to 0.96 percentage points (Appendix C). Taken together, these results indicate that investment slowed the AfD’s local gains. However, the effect of visible investment was small relative to the overall AfD gains.

1 Data and empirical strategy

I now describe the data and the empirical strategy. I first discuss the electoral data, then the investment records, and finally the estimation. I draw on municipality-level results for the six state elections held in 2002, 2006, 2011, 2016, 2021, and 2026. For the elections before 2026, I use historical results from GERDA, harmonized to 2025 municipal boundaries; for 2026, I use the preliminary election file of the state statistical office. In total, I observe a balanced panel of 218 municipalities across six elections. I examine two outcomes: (i) far-right votes as a share of valid list votes and (ii) far-right votes per eligible voter. For the historical elections, I follow GERDA’s party classification. For 2026, I use AfD list votes.¹

I combine the electoral data with information on investment announcements at the municipality level. Here I draw on a September 8, 2026 export from Dezernat Zukunft’s Investitionstracker, which contains 71 unique projects. To check and extend these records, I consult company announcements and official sources. The search covers 391 recipients of regional investment grants (GRW), supplemented by European Regional Development Fund (EFRE) records. Applying the sample restrictions described below excludes 16 original projects; the search adds 31 projects, yielding 86 eligible projects in 40 municipalities.

Based on these records, I classify municipalities as treated if they have at least one

¹Sources: GERDA and Statistical Office of Saxony-Anhalt. I use GERDA’s historical results harmonized to 2025 municipal boundaries. Historical far-right votes combine AfD, DVU, NPD, REP, and Die Rechte. Of these parties and their successors, only the AfD contested the 2026 state-list vote.

investment announcement first reported after June 6, 2021 and before September 6, 2026, excluding cancelled projects. This definition yields 40 investment municipalities and 178 comparison municipalities without such an announcement. To assess whether the results depend on project status and investment size, I consider four alternative definitions: realized or started projects, and individual investments of at least EUR 50 million, EUR 100 million, or EUR 500 million. To identify realized or started projects, I combine recorded status and start dates with independent evidence of implementation before the election. Projects need not be completed. For the amount thresholds, I require a reported amount or documented lower bound at one site and exclude other investment municipalities from the analysis. All five definitions retain the same 178 comparison municipalities.

The projects cover both new facilities and expansions of existing sites. Examples include Daimler Truck’s EUR 500 million logistics center in Halberstadt and Wacker’s mRNA production center in Halle, both of which opened before the election. Other projects were still under construction, including Lieken’s EUR 70 million bakery expansion in Wittenberg and Florida Eis’s EUR 25 million factory in Schönebeck.²

To estimate the effects of investment, I use synthetic difference-in-differences (SDID), following Arkhangelsky et al. (2021). Let Y_{it} denote far-right votes divided by valid votes or eligible voters in municipality i at election t . The sets $\mathcal{T}$ and $\mathcal{C}$ contain investment and comparison municipalities, respectively, with $N_{\mathcal{T}} = |\mathcal{T}|$. I estimate outcomes as proportions and multiply estimates by 100 to express effects in percentage points. With 2026 as the only election after investment, I estimate models of the following form:

$$\hat{\tau} = g_{2026} - \sum_{t < 2026} \hat{\lambda}_t g_t, \quad g_t = \frac{1}{N_{\mathcal{T}}} \sum_{i \in \mathcal{T}} Y_{it} - \sum_{i \in \mathcal{C}} \hat{\omega}_i Y_{it}. \quad (1)$$

The parameter $\hat{\tau}$ yields the estimated effect of investment. It measures the change in the electoral gap between investment municipalities and their synthetic comparison. The nonnegative comparison weights $\hat{\omega}_i$ match the investment municipalities’ earlier electoral trajectory, allowing a difference in levels. The nonnegative election weights $\hat{\lambda}_t$ make a weighted average of earlier outcomes approximate 2026 outcomes among comparison municipalities, also allowing a common level difference. Each set of weights sums to one, and investment municipalities’ 2026 outcomes do not enter weight selection. I use the `synthdid` package’s default regularization to penalize concentrated weights and limit overfitting. For inference, I use standard errors based on 1,000 municipality placebo replications and report two-sided p-values based on a normal approximation.

This specification subtracts the weighted earlier electoral gap from the gap observed in 2026. Investment municipalities are, on average, larger than comparison municipalities; all eleven largest municipalities in the state have announcements. I emphasize that level differences in far-right support are accommodated by the design. My key identification assumption is that far-right support in investment municipalities would have followed the weighted comparison between 2021 and 2026 if the investments had not occurred. This assumption also requires that anticipation or spillovers do not affect the comparison. I present

²Project sources: Daimler Truck, Wacker’s 2024 annual report, MDR on Lieken, and City of Schönebeck.

earlier electoral trajectories in Figure 1 and estimate a placebo effect for the 2021 election, i.e. prior to investment, in Appendix A. I address differences in municipality size in Appendix C.

2 Results

I present the results from the SDID analysis in Table 1. I find that far-right support increased less in investment municipalities than in their synthetic comparison. For any announcement, the estimated reduction is 2.02 percentage points in vote share and 2.38 points in votes per eligible voter. Across the five investment definitions, the reductions in vote share range from 2.0 to 3.5 percentage points. The estimates remain negative when I restrict the analysis to realized or started projects or to larger investments. To put these magnitudes in perspective, the AfD gained approximately 23 percentage points statewide between the 2021 and 2026 elections. The main estimate hence amounts to less than one tenth of the statewide gain. Overall, these results indicate that investment slowed the AfD’s gains at the local level.

While the vote-share estimates are negative across all five definitions, the confidence interval for investments of at least EUR 500 million includes zero. I note that this specification contains only two investment municipalities. In Figure 1, I present the electoral trajectories of investment municipalities and their synthetic comparison, together with the election weights, for any announcement and for realized or started projects.

Table 1: Investment announcements and far-right voting

Investment definition	Vote share	Per eligible voter	Investment municipalities	Reduction as % of statewide gain
Any announcement	-2.02*** (0.50)	-2.38*** (0.48)	40	8.8%
Realized or started	-2.23*** (0.54)	-2.62*** (0.49)	32	9.7%
EUR 50m or more	-2.44*** (0.76)	-2.62*** (0.72)	14	10.6%
EUR 100m or more	-2.37** (1.09)	-2.50** (1.00)	7	10.3%
EUR 500m or more	-3.48* (1.95)	-4.21** (1.88)	2	15.1%

178 comparison municipalities; five earlier elections

Notes: The table shows the effects of investment announcements on far-right votes as a share of valid list votes and per eligible voter, in percentage points. The first treatment definition includes announcements between the 2021 and 2026 elections, excluding cancelled projects. The amount thresholds apply to individual project amounts. The final column expresses the absolute vote-share effect as a share of the statewide gain of 23 points and provides a magnitude benchmark. Standard errors in parentheses are based on 1,000 municipality placebo replications. Stars denote two-sided normal-approximation p-values: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

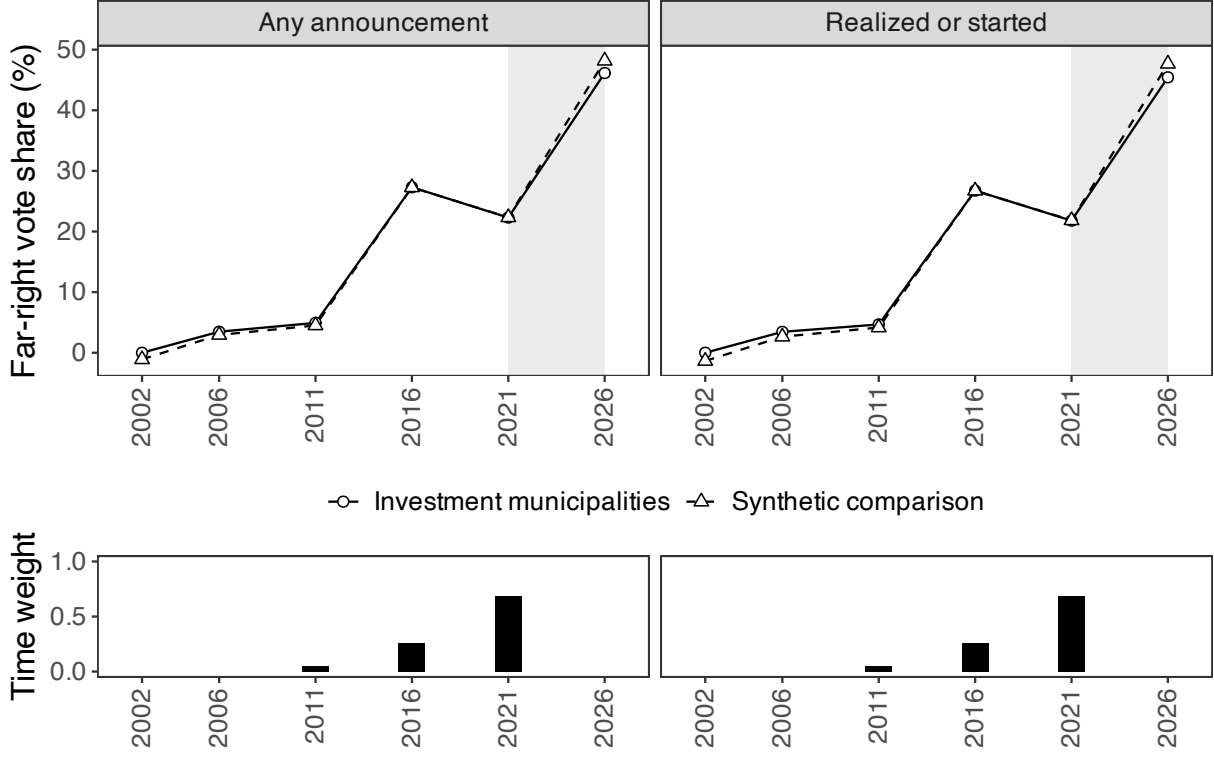


Figure 1: Electoral trajectories and election weights

Notes: The figure shows far-right vote shares for investment municipalities and their synthetic comparison. Investment municipalities receive equal weight, and I shift the comparison by the SDID level adjustment for earlier elections. Shading marks the interval between the 2021 and 2026 elections. The lower panels show the election weights, following the display in Arkhangelsky et al. (2021).

3 Validity checks

I conduct several robustness checks to verify these results and to examine alternative explanations for the smaller far-right gains in investment municipalities. First, I address concerns about differential trends in far-right voting between investment and comparison municipalities prior to investment. I present earlier electoral trajectories in Figure 1 and estimate a placebo effect for the 2021 election, excluding that election from fitting (Appendix A). Placebo estimates are typically smaller than those for 2026.

Second, I address the concern that the results depend on individual municipalities. To do this, I omit municipalities in turn and re-estimate the models. All 240 estimates remain negative (Appendix B). However, I note that the estimate for investments of at least EUR 100 million is sensitive to the inclusion of Halle.

Third, I address the concern that the effects reflect differences in municipality size rather than investment. Investment municipalities are larger than comparison municipalities, and larger municipalities may have resisted the AfD's gains for other reasons. I examine this explanation by excluding the three largest cities and, separately, by adjusting 2026 outcomes for the relationship between population and electoral change among comparison municipalities

(Appendix C). Both checks reduce the estimated effects; population adjustment roughly halves the main vote-share estimate, from 2.02 to 0.96 percentage points. Refitting the 2021 placebo after population adjustment also reduces the earlier electoral divergence (Table A2). These results indicate that municipality size matters for the magnitude of the estimates.

Fourth, I address the concern that additions to the investment records or announcements shortly before the election drive the results. The estimates remain negative when I use only corrected original-export records or exclude announcements in the six months before the election (Appendix D). Finally, I consider the possibility that the effects of investment extend to municipalities where workers live rather than only to those where facilities are located. To test this, I examine exposure through commuting connections (Appendix E). Eleven of the twelve estimates have confidence intervals that include zero, and the evidence on such spillovers remains inconclusive.

4 Discussion

Can visible economic growth stop the far right? My evidence from Saxony-Anhalt suggests that visible investment slowed local far-right gains, but the estimated effects are small relative to the party’s overall advance. I present new evidence from the 2026 state election, in which the AfD gained approximately 23 percentage points. Empirically, I focus on 86 investment projects announced between the 2021 and 2026 elections, drawing on verified investment records and a panel of municipal electoral returns covering six elections. Using synthetic difference-in-differences, I find that investment reduced far-right vote shares by 2.0 to 3.5 percentage points across definitions based on project status and investment size. The main estimate amounts to about one tenth of the AfD’s statewide gain.

Further analyses show that the magnitude of these effects depends on municipality size. Investment municipalities are larger than comparison municipalities, and adjusting for population reduces the main vote-share estimate from 2.02 to 0.96 percentage points in absolute value (Appendix C). While the adjusted estimate remains negative, the reduction is substantial. In addition, the largest cities lack comparable municipalities without investment, which limits what I can establish about their investment effects.

References

- Abadie, Alberto. 2021. Using Synthetic Controls: Feasibility, Data Requirements, and Methodological Aspects. *Journal of Economic Literature* 59(2): 391–425. doi:10.1257/jel.20191450.
- Albanese, Giuseppe, Guglielmo Barone, and Guido de Blasio. 2022. Populist Voting and Losers’ Discontent: Does Redistribution Matter? *European Economic Review* 141: 104000. doi:10.1016/j.euroecorev.2021.104000.
- Arkhangelsky, Dmitry, Susan Athey, David A. Hirshberg, Guido W. Imbens, and Stefan Wager. 2021. Synthetic Difference-in-Differences. *American Economic Review* 111(12): 4088–4118. doi:10.1257/aer.20190159.
- Cremaschi, Simone, Paula Rettl, Marco Cappelluti, and Catherine E. De Vries. 2025. Geographies of

- Discontent: Public Service Deprivation and the Rise of the Far Right in Italy. *American Journal of Political Science* 69(4): 1581–1599. doi:10.1111/ajps.12936.
- Dippel, Christian, Robert Gold, Stephan Heblich, and Rodrigo Pinto. 2022. The Effect of Trade on Workers and Voters. *The Economic Journal* 132(641): 199–217. doi:10.1093/ej/ueab041.
- Forschungsgruppe Wahlen. 2026. Wahlanalyse Sachsen-Anhalt 2026: AfD-Rekordergebnis bei maximaler Polarisierung im Land. September 7. Election analysis.
- Gold, Robert, and Jakob Lehr. 2025. Paying Off Populism: How Regional Policies Affect Voting Behavior. CRC TR 224 Discussion Paper No. 638, January 14. Working paper.
- Heddesheimer, Vincent, Hanno Hilbig, Daniel Posch, and Jens Südekum. 2026. Regionalpolitik als Stabilitätsanker im Strukturwandel? Evidenz zu den politischen Effekten der Regionalförderung in Deutschland. Bertelsmann Stiftung. doi:10.11586/2026058.
- Hensel, Jana. 2024. Geld schützt nicht vor Radikalen. *Die Zeit*, No. 18, updated May 1. Article.
- Reuters. 2026. AfD Victory Clouds Merz’s Reform Agenda as Ally Seeks Changes. September 8. Article via Internazionale.
- Tagesschau. 2026. Arbeitgeber warnen vor “Klima der Abschottung.” September 7. Article.
- Tooze, Adam. 2026. Germany’s Democratic Earthquake: The AfD Breakthrough in Sachsen-Anhalt and the Question of an “Alternative to the Alternative.” *Chartbook* 473, September 7. Article.
- Weber, Isabella M. 2025. To Defeat the Far Right, We Must Adopt an Anti-Fascist Economic Policy. *The Nation*, February 28. Article.

A Fit and earlier electoral trends

To assess whether earlier electoral divergence accounts for the results in Table 1, I refit each model using the four elections from 2002 to 2016 and treat 2021 as a placebo. I exclude 2026 entirely and estimate new weights and regularization. In Table A1, I find negative placebo estimates that are smaller than the main estimates. Subtracting these earlier differences from the 2026 estimates would require assuming that they persisted unchanged.

Table A1: Earlier fit and estimates for the 2021 placebo election

Investment definition	Vote share		Per eligible voter	
	2021 placebo	RMSE	2021 placebo	RMSE
Any announcement	-0.53 (0.44)	0.57	-1.03*** (0.32)	0.60
Realized or started	-0.67 (0.46)	0.74	-1.19*** (0.36)	0.68
EUR 50m or more	-1.03 (0.68)	0.69	-1.72*** (0.51)	0.82
EUR 100m or more	-0.89 (0.93)	0.59	-1.57** (0.70)	0.67
EUR 500m or more	-1.37 (1.76)	0.81	-2.01 (1.28)	0.84

Notes: The table shows refitted 2021 placebo estimates, which use the elections from 2002 to 2016; treated municipalities' 2021 outcomes do not enter weight selection. RMSE measures the level-adjusted gap of the main fit over the elections from 2002 to 2021. All values are in percentage points, with standard errors in parentheses. Outcomes, treatment definitions, inference, and stars follow Table 1.

B Dependence on individual municipalities

To examine whether individual municipalities drive the results in Table 1, I omit each investment municipality and, separately, each of the five comparisons with the largest original weights in each model. I refit SDID after every omission. All 240 estimates remain negative (Figure A1). I exclude Intel’s cancelled project from treatment. Omitting Magdeburg, which has other eligible projects, changes the main vote-share estimate from -2.02 to -1.85 percentage points. The main model’s comparison weights are dispersed, with approximately 174 effective comparison municipalities out of 178.³

For the EUR 500 million definition, the investment sample contains only Halberstadt and Wittenberg. Omitting either leaves one investment municipality and all 178 comparisons. With Halberstadt alone, I estimate -3.17 percentage points for vote share and -4.10 per eligible voter; with Wittenberg alone, the estimates are -3.79 and -4.19 , respectively. The EUR 100 million estimate is sensitive to Halle: omitting the city reduces the vote-share effect from 2.37 to 0.82 percentage points in absolute value.

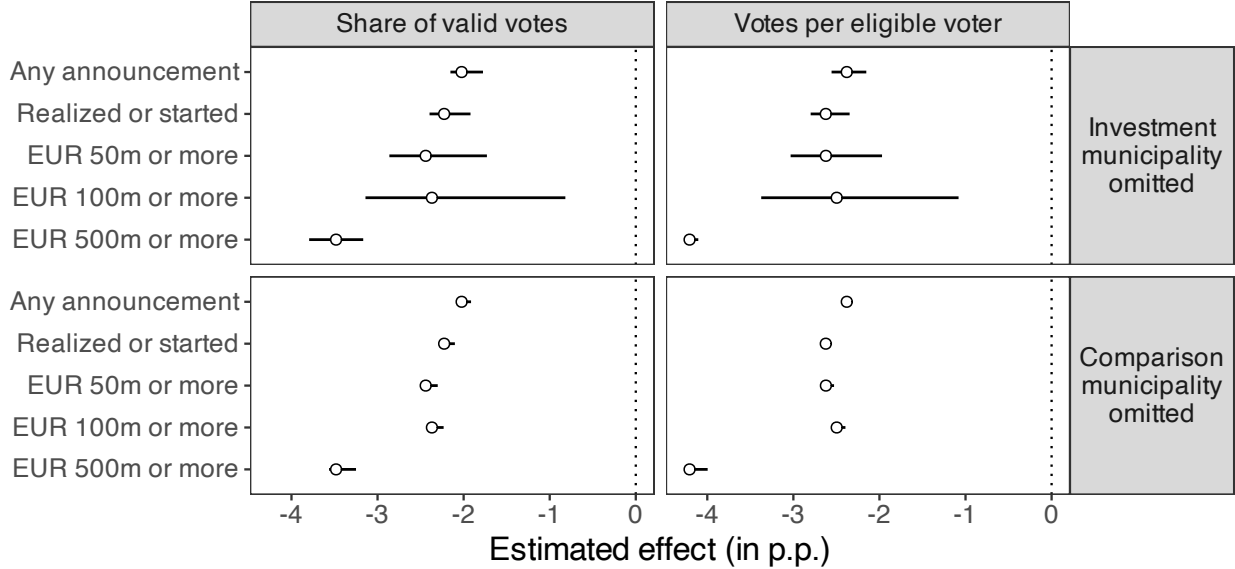


Figure A1: Estimates after omitting individual municipalities

Notes: The figure shows SDID estimates in percentage points, refitted after each omission. I omit every investment municipality and each of the five comparison municipalities with the largest weights. Circles mark the main estimates. Lines show the minimum and maximum omission estimates, not confidence intervals. Outcomes and treatment definitions follow Table 1.

³The effective number is $1/\sum_{i \in \mathcal{C}} \hat{\omega}_i^2$; it equals the comparison sample size when weights are equal.

C Municipality size and electoral change

I examine whether the effects reflect greater resistance to the AfD in urban areas. Using 2021 population, I exclude Halle, Magdeburg, and Dessau-Roßlau together and, separately, adjust 2026 outcomes for the comparison municipalities' relationship between log population and electoral change since 2021. I then refit SDID. Both checks retain all 178 comparisons. Population captures municipality size rather than density or urban classification, and excluding cities changes the population to which the estimate applies. All eleven largest municipalities have announcements, limiting comparisons for larger cities. In Figure A2, the main vote-share estimate remains negative but becomes substantially smaller under both checks.

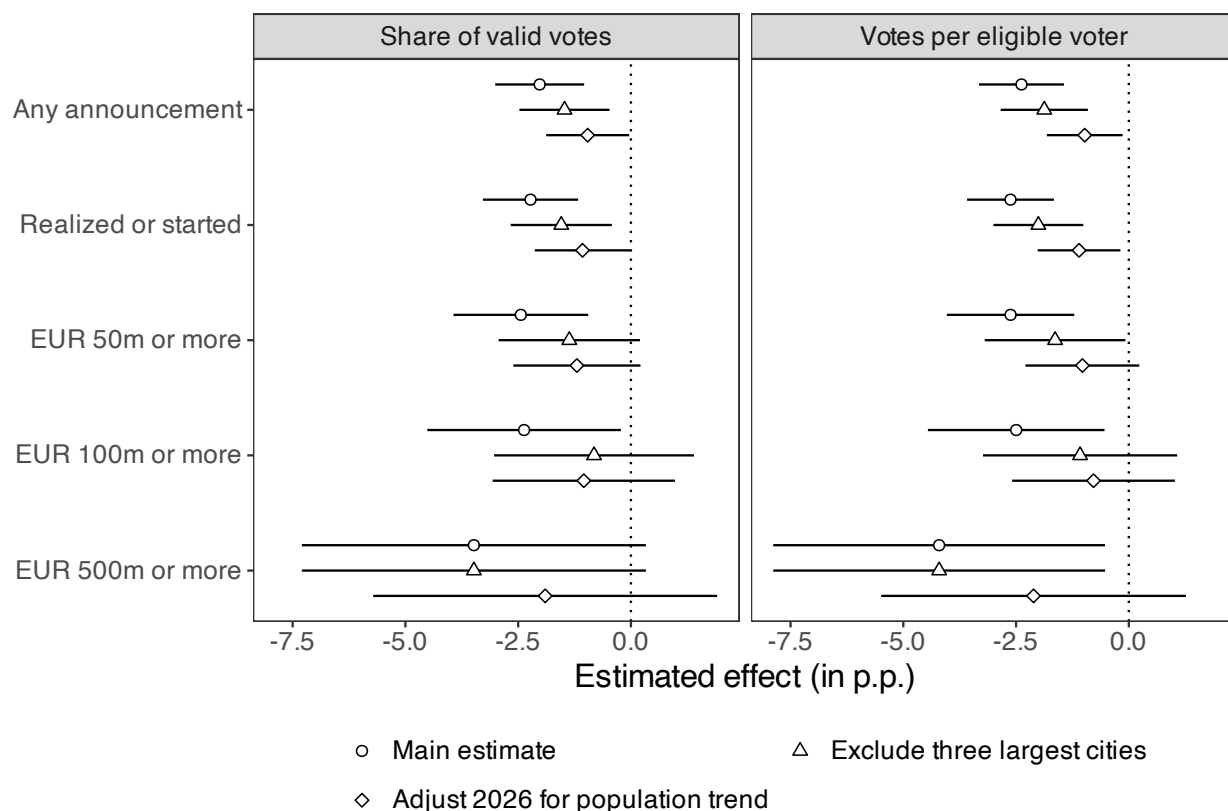


Figure A2: Sensitivity to municipality size

Notes: The figure shows SDID estimates in percentage points; outcomes follow Table 1. The population adjustment uses the relationship between 2021 log population and subsequent electoral change among comparison municipalities, extrapolating to larger cities. Lines show pointwise 95% intervals based on 1,000 municipality placebo replications, refitting the population adjustment in each draw.

I further examine whether population adjustment reduces the earlier divergence documented in Table A1. In Table A2, I report adjusted estimates for 2026 and refitted placebos for 2021 under the two core investment definitions. The adjusted 2021 estimates are closer to zero, particularly for votes per eligible voter. All four placebo intervals include zero, although this does not establish parallel trends.

Table A2: Population-adjusted estimates and earlier electoral divergence

Investment definition	2026 estimate	2021 placebo	Municipalities
Share of valid votes			
Any announcement	-0.96** [-1.88, -0.04]	-0.29 [-1.14, 0.55]	40
Realized or started	-1.07** [-2.13, -0.02]	-0.42 [-1.31, 0.48]	32
Votes per eligible voter			
Any announcement	-0.98** [-1.82, -0.14]	-0.18 [-0.80, 0.44]	40
Realized or started	-1.10** [-2.02, -0.19]	-0.27 [-0.93, 0.39]	32

Notes: The table shows population-adjusted SDID estimates in percentage points. Population precedes the outcome: 2021 for the 2026 estimates and 2016 for the 2021 placebo. Brackets show pointwise 95% intervals based on 1,000 municipality placebo replications, refitting the adjustment in each draw. Outcomes, treatment definitions, and stars follow Table 1.

D Alternative investment samples

To assess whether additions to the export or recent announcements drive the results in Table 1, I separately restrict the analysis to corrected original-export records and announcements before March 6, 2026. The estimates remain negative under both restrictions (Table A3).

Table A3: Estimates using alternative investment samples

Investment definition	Vote share	Per eligible voter	Municipalities
Corrected original export only			
Any announcement	-2.21*** (0.56)	-2.43*** (0.51)	29
Realized or started	-2.48*** (0.63)	-2.64*** (0.64)	19
Announcements before March 6, 2026			
Any announcement	-1.94*** (0.53)	-2.37*** (0.48)	35
Realized or started	-2.30*** (0.56)	-2.73*** (0.51)	29

Notes: The table shows SDID estimates in percentage points. Municipalities removed from treatment remain excluded from the comparison group, and all 178 comparison municipalities remain. Standard errors in parentheses are based on 1,000 municipality placebo replications. Outcomes, treatment definitions, and stars follow Table 1.

E Commuting exposure

Finally, I examine whether investment affects municipalities without direct investment through their commuting connections (Table A4). The largest negative vote-share estimate occurs at the highest tested exposure cutoff, at -1.03 percentage points. However, I also find a positive estimate of 0.88 points for votes per eligible voter at the 40% cutoff, with a confidence interval excluding zero. Eleven of the twelve intervals include zero. Taken together, these estimates provide inconclusive evidence on commuting spillovers.

Table A4: Commuting exposure to investment municipalities

Cutoff	Vote share [95 % CI]	Per eligible voter [95 % CI]	Exposed	Comparison
10%	-0.06 [-1.21, 1.09]	0.28 [-0.83, 1.40]	145	33
20%	0.01 [-0.83, 0.85]	0.46 [-0.32, 1.24]	105	73
30%	-0.34 [-1.73, 1.05]	0.31 [-0.95, 1.56]	79	99
40%	0.31 [-0.67, 1.30]	0.88** [0.02, 1.74]	45	133
50%	-0.31 [-1.84, 1.23]	0.15 [-1.34, 1.64]	14	164
55%	-1.03 [-2.96, 0.91]	-0.35 [-2.29, 1.58]	8	170

Notes: The table shows SDID estimates that compare municipalities above and below each exposure cutoff. Exposure is the share of resident workers commuting to investment municipalities. The 2024 commuting data cover ten destination flows per municipality and may understate exposure. Brackets show 95% intervals based on 1,000 municipality placebo replications; I use the jackknife at the 10% and 20% cutoffs. Outcomes and stars follow Table 1.